



Black Box Limited (BBOX)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 3 Jun 2026

AVOID — DON'T CHASE

CMP ₹1,060	52W H / L ₹1,068 / ₹435	MKT CAP ₹18,588 Cr	P/E (TTM) VS SECTOR 66.7× · rich	ROE / ROCE 26.8% / 22.2%
PROMOTER (Δ, PLEDGE) 70.5% · flat · 0% pL	FII / DII Δ N/A	BETA N/A (high-β SMID)	ADV N/A	NET DEBT ₹1,153 Cr gross · D/E 0.90



PRIMARY CATALYST — THE REASON IT MOVES NOW

The 1-Jun-2026 Black Box–AIONOS strategic AI alliance, stacked on a record \$792M order backlog (+57% YoY), is re-rating BBOX from a system-integrator into an "AI-infrastructure / GCC data-centre" story — and has powered the stock to an all-time high near ₹1,068.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Restructuring / JV · Narrative re-rating	No disclosed deal value (qualitative); backlog \$792M ≈ 1.1× FY26 revenue, underpins ~\$1bn FY27 run-rate	H — alliance is a confirmed exchange filing	Monetisation H2 FY27; order news flow ongoing

Priced in? Heavily. Stock is at its 52W high (+144% off the ₹435 low) on 66.7× TTM P/E and trades ~50% ABOVE every published analyst target (₹638–755). The AI/backlog narrative is already in the tape; consensus EPS has not caught up. · Source: Essar/Black Box PR & BSE filing, 1 Jun 2026; Q4 FY26 results, 26 May 2026

BULL

₹1,200+

Early GCC/AI mandates land + backlog converts to revenue; breakout continuation (+13%).

BASE

₹950–1,070

Narrative intact but valuation digests; range-bound consolidation around the highs.

BEAR

₹820–870

Profit-taking / SMID risk-off mean-reverts toward 50-DMA & gap-fill (~18% to ~23%).

BBOX pairs a genuinely strong franchise — record \$792M backlog, \$1bn FY26 order bookings, 26.8% ROE, Essar-backed (70.5%, 0% pledge) — with a stretched tape: 66.7× earnings, all-time high, and a price sitting ~50% above the highest published target. For a neutral swing window the asymmetry is poor; the edge is to wait for a pullback into ₹880–930 rather than chase the AI-alliance pop.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Order book	Backlog \$792M (~₹7,000 Cr), +57% YoY; FY26 order bookings crossed \$1bn	≈1.1× FY26 revenue; underpins ~\$1bn FY27 revenue target	H	Converts FY27	Q4 FY26, 26 May 2026
M&A	Brazil acquisition onboarding	~₹500 Cr FY27 revenue (~+8% of FY26 base)	M	FY27	Q3 FY26 concall
Margin	EBITDA margin to 10% target (FY26 OPM ~9%)	~+100 bps → meaningful EPS uplift on ₹6,300 Cr base	M	FY27	Mgmt guidance, Q4 FY26
Demand	India GCC ecosystem AI-ready infra (AIONOS go-to-market)	Qualitative TAM expansion; multi-geo (India/NA/EMEA/APAC)	M	FY27+	Alliance PR, 1 Jun 2026
Capital action	Final dividend ₹1/sh (50% of ₹2 FV)	~0.1% yield — token; signals comfort, not value	H	AGM (~Aug 2026)	Q4 FY26 board, 26 May 2026

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Ownership	Promoter Essar Telecom 70.5%, 0% pledged	Stability + low free float (cuts both ways on liquidity)	H	Standing	Mar-2026 shareholding
Technical	At 52W high ₹1,068; strong uptrend but overbought	Breakout intact above ₹1,000; first support ~₹880-930	M	Near-term	Price action, 2 Jun 2026

WHAT THE STREET IS PRICING IN

Formal sell-side coverage is thin. Aggregated 1-yr targets sit at **₹638-755** (avg ~₹660-696) — i.e. roughly **35% BELOW** the ₹1,060 CMP. The market is paying for a narrative the published models don't yet support. **IN the price:** ~\$1bn FY27 revenue, AI/GCC re-rating, 57% backlog growth, premium ICT multiple. **NOT in the price:** any earnings/margin miss, AI-monetisation slippage, or a SMID-cap de-rating — at 66.7× TTM P/E (EPS ₹12.25) there is no valuation cushion.

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Valuation de-rating	66.7× P/E, ~50% above target; any growth wobble	-25% to -35%	H
Margin / earnings miss	OPM stuck at ~9% vs 10% goal; Q1 FY27 print	-15%	M
SMID momentum risk-off	High-beta name post a ~2.4× run; broad correction	-20% to -30%	M
AI-alliance monetisation	No disclosed contract value; order news fails to land	-10%	M
Low free float / liquidity	Promoter 70.5% → thin float amplifies moves	qualitative	M
Leverage / FX	D/E 0.90 (₹1,153 Cr debt); USD revenue across 35+ countries	qualitative	L

KEY LEVELS & TRADE FRAME

Entry zone (on pullback)	₹880-930
Stop (below breakout base / ~50-DMA approx)	₹820
Target 1 / Target 2	₹1,068 / ₹1,200
R:R · suggested size	Poor at CMP · ≤0.5-1% cap

Levels approx — verify on chart. No live DMA feed; at ₹1,060 (52W high) the reward-to-risk is unfavourable, hence entry is set on a pullback, not at spot.

CATALYST CALENDAR

DATE	EVENT
Jun 2026+	AIONOS alliance — first GCC/AI order announcements
Jul-Aug 2026	Q1 FY27 results (first margin check vs 10% goal)
~Aug 2026	AGM + final dividend ₹1/sh record date
FY27	Brazil acquisition revenue onboarding (~₹500 Cr)

AVOID (chasing)

Excellent franchise, extreme price. At a 52W high, 66.7× earnings and ~50% above every published target, a neutral swing buyer has no margin of safety into the AI-alliance pop. **Flips the call:** a 12-18% pullback into ₹880-930 with the backlog/AIONOS narrative intact converts this to a Tactical Long.

MPM · SCREEN — ANALYZE — INVEST

For information only. Not investment advice or a recommendation to buy/sell. BBOX is a high-beta SMID-cap; prices and 52W data are vendor-sourced and may be stale — verify against the latest NSE/BSE filing before acting. FII/DII Δ, beta and ADV marked N/A where not independently verified.

Sources: BSE/NSE filings & Q4 FY26 board outcome (26 May 2026); Black Box-AIONOS alliance PR, Essar/Business Standard (1 Jun 2026); FY26 results coverage (Tradebrains, SMESTreet, EquityBulls); Screener.in fundamentals; TradingView/AlphaSpread consensus targets; price/52W from Tickertape/indmoney (2 Jun 2026).

Generated 3 Jun 2026 · Not investment advice — verify against latest filings before acting.